

Do Stocks Trade Differently Across the Exchanges and Venues?

We next analyzed volumes across all trading venues. Stocks were segmented by exchange listing and then by market cap to determine if there is any material difference to how they trade.

For NYSE stocks we found very little difference between large and small cap stocks. Small cap stocks did trade slightly more in the NYSE/AMEX market (Specialist/DMM model) and in the crossing networks (Finra-TRF). Large caps traded a little more in the alternative exchanges, NASDAQ, and ARCA. For NASDAQ stocks, we once again found similar trading activity across large and small cap stocks. Large cap stocks traded a little more on NASDAQ and ARCA and small cap stocks traded slightly more in the crossing networks.

We next analyzed the difference across market cap stocks and how they trade in the different venues. We found that the listed large cap stocks traded much more on the NYSE/AMEX venue as expected, since these are primarily the stocks that are listed on the NYSE exchange, and the NASDAQ large cap stocks traded more in the NASDAQ venue as well as in the alternative exchanges and ARCA. Similar results were found for small cap stocks. Listed small cap stocks traded a larger percentage in NYSE/AMEX and NASDAQ small cap stocks traded a larger percentage in NASDAQ. The trading volumes across the different alternative exchanges were similar but with NASDAQ small caps trading slightly more in the alternative exchanges and in the dark pools ([Figure 2.2](#)).

Volume Distribution Statistics

Investigation into stock trading patterns uncovered some interesting volume distribution properties, namely, the difference in trading volume across market capitalization. As expected, large cap stocks trade a much higher number of shares than small cap stocks. Large cap stocks traded an average of 6.1 million shares per day and small cap stocks traded an average of 496,000 shares per day. NASDAQ large cap stocks (7.4 million) trade more daily volume than NYSE listed large cap stocks (5.8 million). NYSE listed small cap stocks 639,000 trade more daily volume than NASDAQ listed small cap stocks (400,000).

The difference across trading volume by large cap is likely to be driven by sector and information content. First, NASDAQ is more dominated by large cap technology and internet stocks than the NYSE. These companies are also more likely to be growth companies or companies with a